3.4.3 Efficiency and productivity

Unit 3.4 Operational management · 6 key points

- **Efficiency:** producing output with as few resources as possible
- **Ways to raise productivity:** training, better equipment, better motivation, improved methods
- **Difficulties:** cost of training and equipment, staff resistance, quality may fall if rushed
- **Labour intensive:** relies more on people than machines, e.g. hairdressing
- **Capital intensive:** relies more on machinery and technology than labour, e.g. car assembly
- **Capital intensive:** lower variable cost per unit but high fixed costs and less flexible